

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC

The unconventional finance company

For the quarter ended 31st March 2020

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	For the quarter ended			For the Year Ended			
	31.03.2020	31.03.2019	Change	31.03.2020	31.03.2019	Variance	Change
	LKR	LKR		LKR	LKR		
	Unaudited*	Unaudited*	%	Unaudited*	Unaudited*	LKR	%
Interest Income	796,976,285	751,870,653	6.0%	3,043,709,078	2,722,660,945	321,048,133	11.8%
Interest Expenses	(452,417,636)	(382,177,512)	18.4%	(1,704,234,090)	(1,433,366,344)	270,867,746	18.9%
Net Interest Income	344,558,648	369,693,141	-6.8%	1,339,474,988	1,289,294,601	50,180,387	3.9%
Net Trading Gain/(Loss) on Equity Securities	-	(0)	100.00%	(125)	(9,220)	9,095	-98.6%
Other Operating Income	20,441,802	25,556,431	-20.0%	288,910,201	146,105,033	142,805,168	97.7%
Less: Operating Expenses							
Personnel Costs	(78,766,170)	(74,470,929)	5.8%	(310,582,828)	(280,796,890)	29,785,938	10.6%
Provision for Staff Retirement Benefits	(938,799)	1,771,322	-153.0%	(7,041,239)	(5,272,963)	1,768,276	33.5%
General and Administration Expenses	(170,001,332)	(181,687,118)	-6.4%	(782,395,544)	(633,317,428)	149,078,116	23.5%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(109,707,203)	(112,620,797)	-2.6%	(381,645,114)	(357,620,797)	24,024,317	6.7%
Operating Profit before Value Added Tax on Financial Services	5,586,945	28,242,050	-80%	146,720,340	158,382,336	(11,661,996)	-7.4%
Value Added Tax on Financial Services	(17,449,590)	(16,419,813)	6%	(53,404,048)	(64,475,297)	(11,071,249)	-17.2%
Profit Before Taxation	(11,862,644)	11,822,237	-200%	93,316,292	93,907,039	(590,747)	-0.6%
Income Tax (Expenses) / Reversal	(8,530,516)	37,382,639	-123%	(23,162,926)	7,022,779	30,185,705	-429.8%
Profit for the Period	(20,393,160)	49,204,876	-141%	70,153,366	100,929,818	(30,776,452)	-30.5%
Actuarial Loss on Retirement Benefit Liability	(2,075,633)	(719,285)	-	(2,075,633)	(719,285)	-	-
Income Tax on Components of Other Comprehensive Income	(498,152)	(201,400)	-	(498,152)	(201,400)	-	-
Other Comprehensive Income for the Period Net of Tax	(2,573,785)	(920,685)	-	(2,573,785)	(920,685)	(1,653,100)	-
Total Comprehensive Income for the Period	(22,966,945)	48,284,190	-148%	67,579,581	100,009,133	(32,429,552)	-32.4%
Earnings Per Share - Basic	(0.66)	0.69	-196%	0.57	0.94		-39.9%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.03.2020 LKR Audited*	31.03.2019 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	511,939,133	643,777,198	-20.5%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	860,630,696	691,744,740	24.4%
Financial Assets - Held for Trading	-	125	-100.0%
Loans and Advances	8,913,047,649	7,453,374,463	19.6%
Lease Rentals Receivable and Hire Purchase	3,726,488,702	4,102,651,935	-9.2%
Other Assets	16,983,813	16,511,803	2.9%
Income Tax Receivable	27,736,580	3,732,303	46.6%
Vehicle Stock	(0)	18,913,569	-100.0%
Advances, Deposits and Prepayments	156,189,223	155,155,197	0.7%
Financial Assets - Available for Sale	506,659	506,659	-
Right-of-use assets	137,210,457		
Property, Plant and Equipment	138,032,482	158,680,580	-13.0%
Investment Property	399,678,109	393,818,513	1.5%
Deferred Tax Assets	225,922,647	249,583,725	-9.5%
Intangible Assets	40,220,339	11,043,610	264.2%
Total Assets	15,154,586,490	13,899,494,420	9.0%
LIABILITIES			
Due to Banks	58,777,776	131,273,907	-55.2%
Other Liabilities	96,622,133	217,163,369	-55.5%
Other Borrowed Funds	6,086,325,326	4,958,735,615	22.7%
Lease liability	126,200,873		
Due to Customers	6,585,234,705	6,617,344,955	-0.5%
Retirement Benefit Liability	29,972,864	22,088,492	35.7%
Total Liabilities	12,983,133,677	11,946,606,338	8.7%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,640,493,541	9.2%
Retained Earnings	303,207,769	239,007,167	26.9%
Statutory Reserve Fund and Other Reserves	76,766,353	73,387,374	4.6%
Total Equity	2,171,452,813	1,952,888,082	11.2%
Total Equity and Liabilities	15,154,586,490	13,899,494,420	9.0%
Net Assets Per Share	17.50	18.18	-3.7%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st March 2020 and its profit for the Period ended 31st March 2020.

.....sgd.....

Geethika Elwalage

Deputy General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

.....sgd.....

R.J.A. Gunawardena

Director/CEO

.....sgd.....

Thusitha Perera

Director/ Chairman of the Audit Committee

20th July 2020

Colombo

* The above figures are provisional and subject to audit.

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2018 (Audited)	1,388,935,273	3,000,000	65,386,917	143,998,491	1,601,320,681
Total comprehensive income for the year					
Profit for the Period	-	-	-	100,929,818	100,929,818
Other comprehensive income (net of tax)				(920,685)	(920,685)
Total comprehensive income for the year				100,009,133	100,009,133
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	251,558,268				251,558,268
Transferred to/from reserves During the Period	-	-	5,000,457	(5,000,457)	-
	251,558,268	-	5,000,457	(5,000,457)	251,558,268
Balance as at 31st March, 2019 (Audited)	1,640,493,541	3,000,000	70,387,374	239,007,167	1,952,888,082
Profit for the year	-	-	-	70,153,366	70,153,366
Other comprehensive income (net of tax)		-		(2,573,785.00)	(2,573,785.00)
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	150,985,150.00				150,985,150
Transferred to/from reserves During the Period			3,378,979	(3,378,979)	-
Balance as at 31st March, 2020 (Audited*)	1,791,478,691	3,000,000	73,766,353	303,207,769	2,171,452,813

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	1,180,119,244	892,924,491	25,376	4,536,076	1,092,476,205	1,251,396,330	116,035,130	94,076,200	655,053,124	479,727,848	-	-	3,043,709,078	2,722,660,945
Other Income	48,800,702	31,955,571	93,937	368,919	50,176,795	50,397,488	280,000	38,264	182,956,799	54,537,612	6,601,968	8,807,179	288,910,201	146,105,033
Total Revenue	1,228,919,946	924,880,062	119,313	4,904,995	1,142,653,000	1,301,793,818	116,315,130	94,114,464	838,009,923	534,265,460	6,601,968	8,807,179	3,332,619,279	2,868,765,978
Segmental Result	54,103,855.64	51,061,908	5,253	270,801	50,305,907	71,871,023	5,120,836	5,195,986	36,893,834	29,496,380	290,655	486,237	146,720,340	158,382,336
Value Added Tax on Financial Services													(53,404,048)	(64,475,297)
Profits from Operations													93,316,292	93,907,039
Income Tax Charge/Reversal for the Period													(23,162,926)	7,022,779
Net profit for the Period													70,153,366	100,929,818
Segment Assets	3,711,805,061	4,098,865,738	14,683,641	3,786,197	4,709,554,957	4,750,735,203	860,630,696	691,744,865	4,203,492,692	2,702,639,260	-	-	13,500,167,048	12,247,771,262
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	1,654,419,442	1,651,723,157	1,654,419,442	1,651,723,157
Total Assets	3,711,805,061	4,098,865,738	14,683,641	3,786,197	4,709,554,957	4,750,735,203	860,630,696	691,744,865	4,203,492,692	2,702,639,260	1,654,419,442	1,651,723,157	15,154,586,490	13,899,494,420
Segment Liabilities	3,500,144,267	3,918,008,682	13,846,326	3,619,136	4,440,998,790	4,541,115,265	811,554,365	661,222,533	3,963,794,059	2,583,388,860	-	-	12,730,337,807	11,707,354,477
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	252,795,870	239,251,861	252,795,870	239,251,861
Total Liabilities	3,500,144,267	1,079,119,247	13,846,326	193,992,606	4,440,998,790	5,021,208,016	811,554,365	877,565,856	3,963,794,059	970,879,520	252,795,870	62,185,056	12,983,133,677	11,946,606,337

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

	31.03.2020 Rs. Audited*	31.03.2019 Rs. Audited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	93,316,292	93,907,039
Adjustments for		
Depreciation and amortization	51,791,363	51,006,612
Depreciation for Lease Buildings	29,177,605	
Lease Interest expense	17,234,710	
Impairment of lease hire purchase, loans and advances	381,645,114	357,620,797
Early termination of loans, leases and hire purchase	(51,580,552)	(35,561,373)
Non-cash items included in profit before tax (WHT and Notional tax)	(1,264,129)	(1,517,200)
Net Interest Margin Adjustment	31,765,157	24,153,962
Interest income on commercial papers	(6,170,584)	(6,234,305)
Profit on sale of vehicle stock	1,133,738	(86,431)
Interest income on Unit Trust	(3,493,043)	
Profit on sale of held for trading securities	125	1,614
Gain/loss on fair valuation of held for trading securities	-	7,606
Gains from sale of property, plant and equipment, investment property and real estate inv	(182,714)	(2,841,867)
Provision for retirement benefit liability	7,041,239	5,272,963
Interest expense on other borrowings	897,277,265	581,621,544
Profit from Operation Before Working Capital Changes	1,447,691,587	1,067,350,961
	-	
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	279,318,715	(1,936,369,097)
Increase in Loans and Advances	(1,724,658,389)	(862,275,657)
(Increase)/Decrease in Other Receivables	(472,010)	(924,414)
(Increase)/Decrease in Deposits and Prepayments	(31,671,976)	(47,300,314)
(Increase)/Decrease in Other Financial Assets	-	-
Increase in Deposits from Customers	(32,110,250)	261,277,709
Increase/(Decrease) in Other Liabilities	(120,541,238)	164,012,558
Net Cash From/(Used in) Operating Activities before Income Tax Payments	(182,443,561)	(1,354,228,254)
Taxes Paid	(22,740,148)	(31,617,521)
Gratuity Paid	(1,232,500)	(3,948,750)
Rent paid	(42,557,697)	
Net Cash From Operating Activities	(248,973,906)	(1,389,794,525)
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment & Intangible Assets	(27,787,206)	(57,293,522)
Acquisition of intangible assets	(17,178,378)	(5,506,856)
Acquisition and proceeds from sale of Investment Property	(5,859,596)	(14,220,059)
Proceeds from sale of investment property	-	17,300,000
Acquisition and proceeds of Vehicle Stock	17,779,831	(37,565,049)
Proceeds from sale of vehicle stock	-	19,000,000
Proceeds from commercial papers	286,170,583	213,479,053
Investments in commercial papers	(280,000,000)	
Investments in Unit Trust	(250,000,000)	
Proceeds from Unit Trust	253,493,043	
Proceeds from sales of held for trading securities	-	204,389
Proceeds from sales of property, plant and equipment	602,054	2,836,973
Net Cash Flows From/(Used in) Investing Activities	(22,779,669)	138,234,929
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(4,421,488,570)	(3,426,336,554)
Proceeds from Other Borrowed Funds	4,651,801,017	4,802,371,833
Dividends paid	-	-
Proceeds from Rigt issue	150,985,150	251,558,268
Net Cash Flows From/(Used in) Financing Activities	381,297,597	1,627,593,547
Net Increase in Cash and Cash Equivalents	109,544,021	376,033,951
Cash and Cash Equivalents at the Beginning of the Period	1,204,248,031	828,214,080
Cash and Cash Equivalents at the End of the Period	1,313,792,053	1,204,248,031
At the End of the Period		
Cash and Cash Equivalents	511,939,133	643,777,198
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	860,630,696	691,744,740
Bank Overdraft	(58,777,776)	(131,273,907)
	1,313,792,053	1,204,248,031

* The above figures are provisional and subject to audit.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2020.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 31st March , 2020 (including comparatives) were approved and authorized for issue on 21st July, 2020 in accordance with a resolution of the board of directors on 21st July, 2020.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 31st March, 2020 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	31.03.2020	31.03.2019
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	109,097,018

08. Market Value of Shares

	31.03.2020 Rs.	31.03.2019 Rs.
Highest Traded Price	8.80	9.00
Lowest Traded Price	5.50	7.80
Closing Price	5.50	8.40

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 31st March 2020

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,560,504	6.09
3 J.B. COCOSHELL (PVT) LTD	4,242,950	3.42
4 MR S.D.R.ARUDEPRAGASAM	2,460,638	1.98
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21
6 MR P.A.D.R.U.PUSHPAKUMARA	1,456,934	1.17
7 SEYLAN BANK PLC/W.D.N.H.PERERA	1,412,989	1.14
8 MR K.M.S.M.RAZEEK & MR K.S.M.RAJUBDEEN & MR S.M.R.MOHAMED	740,000	0.60
9 MUTIARA HOLDINGS (PRIVATE) LTD	510,000	0.41
10 MR S.VASUDEVAN & MRS V.SARASWATHI	509,112	0.41
11 MR C.W.GUNASEKARA	500,000	0.40
12 CODE-GEN INTERNATIONAL PVT LTD	424,118	0.34
13 MR P.P.SUBASINGHE	302,623	0.24
14 MR C.R.PERERA	274,999	0.22
15 MERCHANT BANK OF SRI LANKA & FINANCE PLC/W.K.R. JAYAKODY	234,928	0.19
16 DFCC BANK PLC/MR.K.S.D.SENAWEEERA	233,603	0.19
17 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18
18 MR U.C.BANDARANAYAKE & MRS L.BANDARANAYAKE	200,000	0.16
19 MR T.S.SALIM	197,495	0.16
20 MRS M.ARUDEPRAGASAM	174,262	0.14
	113,724,602	91.57
Othres	10,470,931	8.43
Total	124,195,533	100

No of Shareholders	% of Shareholding
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11. Shares held by public as at 31st March 2020

2,235 26.97%

12. Directors Share Holding

Name	No. of Shares 31.03.2020	%
Mr.Chandrakumar Ramachandra	80,000	0.064
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	60,000	0.048
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-
Mr.K.G.K.Pillai	-	-

10. Utilization of right Issue Fund

Objecti ve No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total proce eds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -19	Gampola	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 January -16	Ragala	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 November -24	Nawalapitiya	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2018 December -21	Chunnamakam	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 February - 25	Puthukkudiyiruppu	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 April -24	Kalmunai	24,000,000.00	10.08.2019	24,000,000.00	6%	24,000,000.00	100%
		2019 Decemebr -05	Mullativu	24,000,000.00	19.12.2019	24,000,000.00	6%	24,000,000.00	100%
		2020-December- 09	Matale	24,000,000.00	06.02.2020	24,000,000.00	6%	24,000,000.00	100%
		2020-January -03	Kegalle	24,000,000.00	03.07.2020	24,000,000.00	6%	24,000,000.00	100%
				240,000,000.00		240,000,000.00	60%	240,000,000.00	

2	Approval Pending	2020 January -03	Puttalam	162,543,114	Balance Right proceed are invested with Money Market and Saving accounts of AAF
		2020-January -23	Balangoda		
		2020-February -13	Kalavanchikudy		
		2020-February -26	Akkaraipattu		
		2020-March-15	Badulla		
		2020-January -14	Awissawella		
		2020-April -22	Kothmale		
		2020-March 26	Welimada		
		2020-April 8	Haputhale		
		2020-May -12	Bandarawela		
				402,543,114.00	

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22

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E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Chandrakumar Ramachandra

Mr.Rajiv James Abeywicrema Gunawardena

Mrs.Dayangani Priyanthi Pieris

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Kuttikattu Rajappan Bijimon

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd

59 Gregory Road,

Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates

1056 Mardana Road,

Colombo 08.

Company Auditors - External

BDO Partners

65/2, Sir Chiththapalam A Gardiner Mawatha,

Colombo 02.

Bankers of the Company :

Bank of Ceylon

Commercial Bank of Ceylon PLC

DFCC Bank PLC

Hatton National Bank PLC

Pan Asia Banking Corporation PLC

People's Bank

Sampath Bank PLC

National Development Bank PLC

Seylan Bank PLC

Indian Bank

Nation Trust Bank

Audit Committee

Mr.Thusitha Perera

Mr. Danasiri Rupakumara Jayasekara

Mr.Chandrakumar Ramachandra

Mr.Kiran Gopala Krishna Pillai

Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.Rajiv James Abeywicrema Gunawardena

Mr.Roshan De Silva Gunasekara (COO)

Mr. Danasiri Rupakumara Jayasekara

Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr.Chandrakumar Ramachandra

Mr.Thusitha Perera

Mr.George Muthoot Alexander

Mr.Rajitha Ananda Bandara Basnayake

Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara

Mrs.Dayangani Priyanthi Pieris

Mr.Kuttikattu Rajappan Bijimon

Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr.Rajitha Ananda Bandara Basnayake

Mr.Rajiv James Abeywickrema Gunawardena

Mr.Chandrakumar Ramachandra

Mrs.Dayangani Priyanthi Pieris

Mr.Danasiri Rupakumara Jayasekara

Credit Committee

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Mr.Rajiv James Abeywicrema Gunawardena

Mr.Chandrakumar Ramachandra